

You can wait until people start to care. Taking Nasdaq as an example, you want to be selling Nasdaq at 4,000, but only after it has gone to 5,000. So you are selling the market on the way down, not on the way up. Because in a bubble, who is to say how far a market can go. Even though something might be a good idea, you need to wait for and recognize the right time. I am not particularly original. If you read the *Financial Times*, it's all there. You don't have to be a brilliant economist; you just have to recognize when something matters. The financial crisis is another example of the need to wait for the right time. During 2006 to 2007, I was thinking the markets were in a completely unsustainable bubble. It was ridiculous. You saw insanity everywhere.

What was your perception of the insanity at the time?

Risk premium was too low in everything. Credit was trading at ludicrous spreads, and no one cared about quality. What is the one thing you know about a company that posts smooth earnings every single quarter?

They are manipulating the numbers.

Yes. You know nothing beyond that. They may or may not have a good business, but you know they are manipulating numbers. People love stable earnings. Isn't that great? I hate stable earnings. It just tells me the company is not being truthful. And what I knew about the whole system in 2006 and 2007 was that the true facts were being obscured. The problem was most obvious in the credit markets. But you can't be short because you lose carry [the interest rate payments on the credit instrument], and at the same time, the spreads get lower and lower. [A decline in the credit spread—that is, the difference between the credit instrument interest rate and the equivalent maturity T-note rate—implies an increase in the credit instrument price.] So you not only have to pay to hold the position, but the position is also going against you. Being short credit in 2006 and 2007 was exactly the same as being short Nasdaq in 1999. You just have to make money going the other way.

How then did you position yourself during 2006 and 2007?

We recognized that we would underperform the bulls by quite a bit because in a bubble the true believers will always win. That's fine. You just need to make decent returns and wait until the market turns. Then